



MEMORANDUM

TO: The Honorable Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: August 7, 2023
SUBJECT: Creation of an Urban Renewal Authority Fiduciary Fund

On August 14, 2023, the Governing Body will be referring to the Finance Committee a resolution that establishes an Urban Renewal Authority Fiduciary Fund.

In July, the City received its first Tax Increment Financing (TIF) payment from the Laramie County Treasurer in the amount of \$12,656.69 for property taxes collected in FY 2023. The payment includes the following Urban Renewal Plan and Projects:

- \$7,745.70 – 15th Street
- \$1,194.01 – Hynds and the Hole
- \$3,716.98 – Hitching Post

These payments were received for property taxes over the frozen base amount for all properties within the urban renewal plan areas. As these funds do not belong to the City, a fiduciary fund must be established. A fiduciary fund is used in governmental accounting to segregate assets that must be held in trust for others.

As always, if you have any questions, please give me a call at 637-6336 or email me at rlockman@cheyennecity.org.

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION EXPRESSING THE SUPPORT OF THE GOVERNING BODY FOR THE ESTABLISHMENT OF AN URBAN RENEWAL AUTHORITY FIDUCIARY FUND."

WHEREAS, the Governing Body of the City of Cheyenne established Urban Renewal Authority by Ordinance No. 4381 as an economic development tool for the purpose of revitalizing deteriorating or underdeveloped areas in the community;

WHEREAS, the Governing Body declared portions of the municipality as blighted areas through Resolution No. 6156 as required by W.S. § 15-9-106;

WHEREAS, pursuant to W.S. § 15-9-110, the Governing Body may approve urban renewal plans for the purpose of eliminating blight and preventing the spread of slum or blighted areas through redevelopment;

WHEREAS, in accordance with W.S. § 15-9-120, an urban renewal plan may contain a provision that taxes, if any, levied upon taxable property in an urban renewal project each year may be frozen at a base amount on the last date of equalization for all properties within the urban renewal plan area;

WHEREAS, as property values increase, all new tax revenue above the frozen base amount are to be apportioned to the Urban Renewal Authority;

WHEREAS, in governmental accounting, fiduciary funds are used to account for resources held by an agency as a trustee or in a custodial capacity for outside parties and these resources cannot be used to support the agency's own programs;

WHEREAS, the Governmental Accounting Standards Board (GASB) Statement No. 84 establishes criteria for fiduciary activities of all state and local governments for purposes of accounting and financial reporting; and

WHEREAS, an Urban Renewal Authority Fiduciary Fund is necessary to hold and disburse the levied taxes collected in excess of the frozen amount as approved by the Urban Renewal Authority Board for each urban renewal project.

NOW, THEREFORE BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that an Urban Renewal Authority Fiduciary Fund be established effective June 30, 2023, and that all portions of the levied taxes received for each urban renewal plan be placed in this fund.

BE IT FURTHER RESOLVED, that the City Treasurer be directed to coordinate with the Planning and Development Department to oversee the management and disbursement of the Urban Renewal Authority Fiduciary Fund for the period of time specified for each urban renewal plan.

PRESENTED, READ AND ADOPTED this _____ day of _____,
2023.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk